ERSKINE ADVISORY · A GUIDE FOR OWNERS

Building in British Columbia: what the owner is responsible for

Licensing, warranty, the statutory 10% holdback, payment, change orders, liens and completion — in plain language, with the section references.

Independent owner's representation
Statutory references verified August 2026
erskineadvisory.com

Contents

How to use this

This guide explains what the legislation requires. It is not legal advice. Consult a BC construction lawyer on your specific project.

This is written for someone who is about to build or substantially renovate a house in British Columbia and has not done it before. It assumes you are competent and busy, and that nobody has yet explained which parts of the project are legally your problem rather than your builder's.

There are more of those parts than most owners expect. British Columbia places obligations directly on the person who owns the land and signs the construction contract. Some of them carry money consequences if you get them wrong. Almost none of them are explained to you by anyone on the project, not because anyone is hiding them, but because nobody on the project is paid to explain them.

What this guide does. It sets out, in order, what the legislation asks of you, what the paperwork actually means, and where the ordinary failure points are. Every statutory claim carries its section number so you or your lawyer can read the source. Where a point rests on a regulator's published guidance rather than on legislation, that is stated.

What this guide does not do. It does not interpret your contract, and it is not legal advice. The Builders Lien Act and the Homeowner Protection Act are short statutes with a great deal of case law behind them, and how they apply to your project depends on facts this guide cannot know. Read this to understand the shape of your obligations. Take the specifics to a construction lawyer.

When to get counsel — not a complete list, but the obvious triggers. Before you sign the construction contract. Before you agree to any payment structure that departs from the standard forms. When a claim of lien appears on your title. When a contractor stops work, or you are considering terminating one. When the numbers in a payment application stop matching what you can see. An hour of a construction lawyer's time at any of those moments is inexpensive relative to what it forecloses.

A note on scope. This guide covers residential construction in British Columbia. Some of it — the incentive structure, how payment applications work, how change orders get away from people — is general and travels anywhere. The statutory parts do not travel. If you are building elsewhere, the obligations exist there too, but they are different obligations.

1. Who works for whom

Start with the org chart, because almost every problem in this guide grows out of it.

A construction project assembles a group of skilled professionals around one person's money. Each of those professionals is competent, most of them are honest, and every one of them is paid by someone. Follow the money and the project becomes much easier to read.

The general contractor is paid by you to build the house, and is running a business with payroll, other projects, and a margin to protect. The contractor's interests and yours overlap substantially — a finished, well-built house is good for both of you — and diverge at specific, predictable points: how much contingency gets spent and on what, whether an ambiguity in the drawings is a change order or included scope, and how quickly money moves.

The project manager or site superintendent is usually the person you speak to most, and the person you come to trust. They are employed by the general contractor. Their professional obligations run to their employer. This is entirely proper and entirely normal. It also means that the person best positioned to tell you whether the project is in trouble is the person least free to.

The architect is paid by you and is generally the most aligned professional on the project — but the architect's expertise and instinct protect the design. Architects vary widely in how much construction administration they contract to do; many do it well, some contract for very little of it, and almost none contract to verify the arithmetic in a payment application against work in place. Read what your architect's agreement actually commits them to. It is often narrower than owners assume.

The lender, if there is one, employs a quantity surveyor or draw inspector to protect the loan. Their reports look like independent verification of your project, and owners frequently rely on them as though they were. They are not. The lender's inspector is confirming that the security is adequate for the money advanced. If the project is over-budget in a way that does not threaten the lender's position, that is not the inspector's question.

The subcontractors and suppliers have no contract with you at all. They are engaged by your general contractor. But — and this is the hinge of Chapter 5 — British Columbia gives them a claim against your land if they are not paid, even though you never hired them and even if you have paid your contractor in full.

You carry the risk. Not most of it. All of the residual risk that has not been contractually allocated somewhere else, plus the parts you agreed to carry when you signed. You are also, in most cases, the only party at the table doing this for the first time.

None of this makes anyone a villain. It is a structural problem, not a moral one: the person with the most at stake has the least information and the least practice, and takes advice largely from parties whose money comes out of the same pot. The rest of this guide is about the specific places where that structure produces expensive outcomes, and what the law asks you to do about it.

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2. Before you sign

A construction contract is a risk-allocation document wearing the costume of a price list. The price and the completion date are the two numbers you will read. The rest of the document exists to decide what happens when either one moves — and one of them always moves.

The three shapes

Fixed price (stipulated sum). The contractor commits to a number for a defined scope. Cost overruns inside that scope are the contractor's problem. This is the structure owners instinctively want, and it is genuinely protective — but only to the width of the defined scope. Everything outside it is a change order, priced without competitive pressure, at a moment when you have no realistic alternative supplier. Fixed price with incomplete drawings is not fixed price. It is cost-plus with extra steps and worse leverage.

Cost-plus. You pay documented cost plus a fee, either a percentage or a fixed amount. Transparent, flexible, appropriate when the scope genuinely cannot be defined in advance — restoration work, complex sites, projects where design is still developing. The exposure is obvious: your final cost is unknown, and where the fee is a percentage, the contractor's compensation rises with your cost. A fixed fee removes that particular tension. Cost-plus without a robust definition of what counts as "cost" is an invitation to a long argument about overhead.

Guaranteed maximum price. Cost-plus with a ceiling. You get the transparency of cost-plus and a cap on the downside. The two questions that decide whether a GMP is worth what it appears to be: what happens to savings if the project comes in under the maximum, and how much contingency sits inside the guaranteed number. A GMP with a generous contingency the contractor controls is a fixed price at a higher number, described more attractively.

What to read twice

The exclusions. A low bid usually lives in the exclusions and qualifications pages. Rock removal, utility connections, permit fees, site servicing, landscaping, appliance installation, finish hardware. Every excluded item is a change order in waiting.

The allowances. An allowance is a placeholder for something not yet chosen. Placeholders set low make a bid look good and produce a budget that rises steadily through the project without anyone having done anything wrong. Ask what each allowance is based on, and what comparable projects actually spent against it.

The contingency, and who controls it. A contingency inside the contract price that the contractor spends without your approval is margin in a disguise. Ask who authorises drawing on it, what documentation accompanies each draw, and where any unspent balance goes at completion.

The payment terms. Payments should track verifiable work in place, not the calendar. Front-loaded schedules — large deposits, milestone payments that arrive ahead of the work they describe — transfer risk to you with every early dollar. Chapter 6 covers how to test this. Chapter 5 covers the part the law makes non-negotiable.

The schedule provisions. Is the completion date enforceable or aspirational? What counts as excusable delay, what notice does the contractor have to give, and what is the remedy when the date moves for reasons that are not excusable?

The change order mechanism. Fixed markup on documented cost, or “to be agreed”? Who is authorised to order a change? What happens to work performed without a signed change order? This clause will decide more of your final cost than the bid did.

The dispute provisions. Mediation, arbitration or court; who pays; where it happens. You are reading this clause at the only moment when you and the contractor are still friendly, which is precisely why it is worth reading.

Take the answers in writing. Take the contract to a construction lawyer before you sign it — not after, when your leverage consists of your signature already being on it.

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3. Who is allowed to build your house

British Columbia regulates who may build a new home, and the regulation is easy to verify before you sign anything.

The licensing requirement

The Homeowner Protection Act provides that a person must not carry on the business of a residential builder unless licensed under Part 3 of that Act (s.14(1)). Licensing is administered by BC Housing. A separate provision, s.22(1), prohibits building a new home unless the home is registered for coverage by home warranty insurance provided by a warranty provider. The two requirements travel together: in practice, a licensed builder arranges the warranty coverage and registers the home.

How to verify, in about five minutes

BC Housing operates a public New Homes Registry at `newhomesregistry.bchousing.org`, searchable by street address and city or by legal description. It will tell you whether a home has home warranty insurance, whether it was built by a licensed residential builder, whether it was built under an Owner Builder Authorization, or whether it holds a rental exemption.

One limitation to know about: BC Housing states the registry contains homes registered since 19 November 2007. For homes registered between July 1999 and that date, you have to contact BC Housing directly.

Before you sign a construction contract, confirm the builder's licence directly with BC Housing, and confirm it is held by the same legal entity that will sign your contract. Builders commonly operate through several corporations. A licence held by a related company is not a licence held by your counterparty.

Owner builder authorization

The Act permits an individual to obtain authorization to build a prescribed type of new home for their own use (s.20(1)). An owner builder is exempt from the warranty registration requirement (s.22(4)).

That exemption is worth understanding properly, because owners encounter it in two different ways.

If you are considering building as an owner builder, understand what you are taking on. Your home has no third-party warranty coverage. BC Housing's guidance is that an owner builder who sells within 10 years of occupancy becomes obligated to subsequent purchasers for defects on a schedule that mirrors the standard coverage: two years for labour and materials, five years for defects in the building envelope, and ten years for structural defects. The exposure does not disappear along with the insurance requirement. It moves from an insurer's balance sheet to yours.

If you are buying a house someone else built as an owner builder — which happens more often than people expect at the upper end of the market, where owners build for themselves and then move — you are buying a house with no warranty coverage and a private obligation from an individual whose ability to honour it you cannot assess. BC Housing requires an Owner Builder Disclosure Notice, obtained from BC Housing, to be given to a prospective purchaser before entering into a purchase and sale agreement, within the first 10 years after occupancy; the obligation passes to later sellers within that period, and the notice states whether any voluntary policy of home warranty insurance is in place.

What is outside the requirement

Not every home falls inside the warranty regime. The Act's definition of "new home" (s.1) excludes a manufactured home unless otherwise prescribed, and BC Housing lists manufactured, mobile and factory-built homes among the exemptions. BC Housing also states that homes on reserve lands are exempt, though coverage may be provided voluntarily, while homes on treaty lands must meet all licensing and warranty requirements. Multi-unit rental buildings with the appropriate restrictive covenant registered on title are also treated differently.

If your project sits near any of these lines — a factory-built component, a non-standard tenure, land whose status you are not certain of — get the position confirmed by BC Housing and by counsel before construction starts, not after.

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4. The warranty you get, and the gaps

British Columbia’s third-party home warranty is known as 2-5-10. It is real protection and it is narrower than the name suggests. The details below come from BC Housing’s Regulatory Bulletin 3, which is the regulator’s published statement of the coverage.

What “2-5-10” actually means

Ten years: structural defects. The outer coverage, and the one people remember.

Five years: the building envelope, including water penetration. On a significant residence this is the tier that matters most in practice. Envelope failures are expensive, they take years to appear, and they are the reason the coverage exists in its current form.

Two years: labour and materials — but subdivided. This is where the name misleads. BC Housing sets out the first tier as three separate windows:

- **12 months** — detached homes, and non-common property in strata units
- **15 months** — common property of strata buildings
- **24 months** — delivery and distribution systems: electrical, plumbing, heating, ventilation and air conditioning, across all building types

So the general labour-and-materials coverage on a detached house is twelve months, not two years. The two-year figure applies to the systems.

When the clock starts

Earlier than most owners assume. For a fee simple custom home, coverage begins on the earlier of the date of first occupancy or the date of the first occupancy permit. For a fee simple spec home, the earlier of first occupancy or transfer of legal title to the first owner. For a strata unit, the earliest of first occupancy or transfer of legal title to the first owner; for strata common property, the earliest of first-unit occupancy in the building or transfer of legal title to the first owner in it.

The practical consequence: coverage runs from occupancy, not from the day the deficiency list is finally closed out. Every month spent finishing a house you have already moved into is a month spent inside the twelve-month window. Owners who take a year to work through a punch list can find the first tier has quietly expired while they were being patient.

The coverage limits

BC Housing sets out minimum coverage limits: for a fee simple home, the lesser of the purchase price or **$200,000**; for a strata unit, the lesser of the purchase price or **$100,000**; for strata common property, the lesser of $100,000 multiplied by the number of units, or $2.5 million per building.

Read that against your construction budget. On a significant residence the prescribed minimum is a fraction of what the house costs to build, and a smaller fraction still of what a serious envelope remediation would cost. These are minimums, and coverage above them can be arranged. Find out what your policy actually provides rather than assuming the number is large.

Who underwrites it, and who to call

The insurance is underwritten by private insurance companies approved by the BC Financial Services Authority. BC Housing administers builder licensing and the registry; it does not underwrite the policy and it is not who you claim against. Your policy names the warranty provider. That is the party with the obligation, and the claims process, deadlines and documentation requirements are theirs.

What is excluded

Exclusions vary by policy and must be read in the policy itself, but the categories BC Housing identifies as typically excluded include landscaping, roads and lanes, site grading, septic systems, non-residential structures other than amenity facilities, owner-supplied materials, normal wear and tear, and damage from acts of nature.

The pattern worth noticing: much of what makes a significant property expensive — site works, landscape, pools, outbuildings, owner-procured finishes and fixtures — sits outside the warranty. The warranty covers the house.

What transfers on sale

Coverage attaches to the home, not to the owner. BC Housing states plainly that the warranty "is attached to the home, not to the owner of the home," and stays in effect on resale until it expires. An owner with active coverage can also request a claims history from the warranty provider for a fee of no more than $25 — which is a useful and underused document if you are buying a house that is a few years old.

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5. The 10% you are legally required to withhold

This is the chapter with the money consequence in it.

If you take one thing from this guide, take this: **an owner who pays a construction contract in full, on time, with no complaints about the work, can still end up paying part of it a second time.** The mechanism is in the Builders Lien Act, it is not obscure, and it is entirely avoidable.

The obligation

Section 4(1) of the Builders Lien Act requires the person primarily liable on each contract, and the person primarily liable on each subcontract, under which a lien may arise to **retain a holdback equal to 10%** of the greater of:

- the value of the work or material as they are actually provided under the contract, and
- the amount of any payment made on account of the contract price.

On your project, "the person primarily liable" on the head contract is you. Not your contractor, not your architect, not your lender. You.

This is a statutory duty, not a contract term. It is imposed by the Act on the person in your position, and s.4(2) confirms it applies whether the contract provides for periodic payments or for payment on completion. It does not arrive because your contract mentions it. Most standard forms used in British Columbia do address holdback, and a good contract will set out the mechanics — but the duty sits in the statute, and the Act is where its consequences are found.

Note also that the same duty runs down the chain. Your general contractor is required to retain 10% from each subcontractor. The Act creates multiple holdbacks, not one project-wide pool. A holdback must not be retained from a worker, material supplier, architect or engineer (s. 4(6)).

The holdback account

Retaining the money is one obligation. Where it sits is another.

Section 5(1) requires the owner to establish a holdback account at a savings institution for each contract under which a lien may arise, to pay into it the amount required to be retained under s.4, and to **administer that account together with the contractor** from whom the holdback was retained. Money in the account is charged with payment of liens and cannot be withdrawn without the agreement of everyone who administers it.

The account requirement does not apply to every project. Section 5(8)(b) disapplies it to a contract where the aggregate value of work and material provided is less than $100,000, and s.5(8)(a) exempts government and prescribed public bodies. Two things follow. The test is the aggregate value of work and material under that contract, not the headline price you signed.

And a contract that begins below the threshold and grows past it — as renovation contracts routinely do — moves into the requirement while it runs.

Two further details are worth knowing because they come up. Interest on the account accrues to the owner during the holdback period, and to the contractor's credit after it (s.5(6)). And a failure by the owner to pay the required amount into the account is an act of default under the contract: on 10 days' notice, the contractor may suspend operations for as long as the default continues (s.5(7)). An owner who ignores the account provision has handed the contractor a lawful reason to stop work.

What happens if you do not comply

Here the Act does something owners find counterintuitive, so it is worth going slowly.

Your subcontractors and suppliers have no contract with you. You did not hire them, you may not know their names, and you owe them nothing directly. But if your contractor does not pay them, they can register a claim of lien against your land.

Section 34(1) caps what they can collect. The maximum aggregate amount recoverable under the Act by all lien holders claiming under the same contractor is **the greater of**:

- the amount owing to that contractor by the person who engaged them, and
- the amount of the **required** holdback for that contract.

Read the second limb again. It is the required holdback — the amount the Act says you were supposed to retain — not the amount you actually retained.

So consider the owner who pays every application in full and holds nothing back. The house is finished, the contractor has all the money, and the owner owes nothing. Unpaid subcontractors register liens. The amount owing to the contractor is zero, but the required holdback was 10%, and the cap is the greater of the two. The owner's land is exposed up to that 10%, and the owner has already paid it out. To clear title, they pay it again.

The corollary matters too, and it is more precise than the way this is usually described. Complying with s.4 does not cap your exposure at 10% in all circumstances. Where you still owe the contractor more than the required holdback — the ordinary position at any point mid-project — the cap under s.34(1) is the amount owing. What compliance actually buys you is that the money needed to satisfy claims is money you have not yet paid out. You settle the claims with the holdback rather than with a second withdrawal from your own account.

One related provision to know: a payment made to a contractor after a claim of lien has been filed, where you have actual notice of it and the lien has not been removed from title, does not reduce the amount owing for the purposes of the cap (s.34(2)(c)). Once a lien is on your title, paying the contractor anyway does not help you.

Compliance in practice

The mechanics are not complicated, which is what makes non-compliance uncomfortable to explain afterwards.

1. **Establish the account before the first payment**, jointly administered with the contractor, where s.5 applies to your contract. Retrofitting this after three draws have gone out is possible and unpleasant.
2. **Calculate 10% on each application** against the greater of value provided and payment made on account (s.4(1)) — not 10% of a convenient subtotal, and not 10% of the amount net of previously released holdback.
3. **Show it on the payment certificate.** The holdback line should appear on every application, so that the amount retained to date is a number both parties can see and neither has to reconstruct later.
4. **Do not release early as a favour.** Requests for early release of holdback are common, sometimes entirely reasonable, and always worth declining. The holdback is the only leverage that survives to the end of the project, and releasing it early does not shift the s. 34(1) exposure.
5. **Confirm the position before you release at the end.** Chapter 9 sets out the sequence.

Some owners run this themselves, and on a straightforward project with a good contract administrator it is manageable. Others retain an independent party to verify work in place and confirm compliance before each payment is released — which is the service this firm provides, and is described at the end of this guide. Either way, the obligation is yours, and so is the consequence.

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6. Paying for work

Every month, a payment application arrives. It is a claim, made by the party being paid, that specified percentages of specified work are complete. It is not evidence. Approving it converts the claim into a payment, and the payment is very hard to get back.

What a payment application is

The standard structure is a schedule of values — the contract price divided into line items — against which the contractor claims a percentage complete this period and cumulatively. Add stored materials, add approved change orders, subtract previous payments, subtract the 10% holdback, and the remainder is the amount requested.

The document is arithmetic performed on estimates. The arithmetic is usually right. The estimates are where the money is.

The four places the number goes wrong

Percentage complete versus value in place. "Framing 80% complete" is a judgment call made by the person being paid for framing. There is no dishonesty required for an optimistic number: partially complete work looks more complete than it is, and the last 20% of most trades takes far more than 20% of the remaining effort. Systematic optimism across twenty line items produces a project that is paid ahead of its progress by a meaningful margin.

Front-loading of the schedule of values. The schedule of values is prepared by the contractor. Loading value into early line items — site work, excavation, foundations — and correspondingly thinning the late ones improves the contractor's cash position and worsens yours. The total is unchanged, which is why it survives review. Check the shape, not the total, and check it before the first draw rather than at the fourth.

Stored materials. Materials paid for but not yet installed appear as a separate line, and each such line is a question: are the goods on site or in a yard somewhere; are they identifiable as yours; are they insured; has title passed; and is the supplier who delivered them actually being paid. Stored materials are the single most common place for a payment application to describe something the owner cannot see.

Change order timing. Change orders sometimes appear in an application before they have been priced or approved, described as pending. Approving an application that includes them creates an argument later about whether you approved the change.

What to do before approving

- Compare the claimed percentages against the site. Not the photographs chosen by the sender — the site, or a report from someone independent who has stood on it.
- Recalculate the arithmetic. Errors are usually innocent and are not always in your favour.

- Confirm the holdback is correct on that application and cumulatively.
- Verify stored materials exist, are identified to your project, and are insured.
- Check change orders on the application against your own log (Chapter 7).
- Ask for statutory declarations and, where the amounts justify it, evidence that subcontractors have been paid for prior periods. A contractor's declaration that the trades are current is not proof, but a contractor who will not sign one has told you something.
- Keep the approval in writing, dated, with the basis on which it was given.

An owner who reviews every application slowly for the first three months finds that applications four through twenty arrive in better shape. This is not a statement about anyone's character. Documents get more careful when someone is reading them.

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7. Change orders

Change orders are where fixed-price projects stop being fixed price. Not through any single dramatic event — through forty small ones, most of them individually reasonable, none of them individually worth a fight.

The three questions

Every proposed change resolves into three questions, in order.

Was it in the scope? If the work is already covered by the contract documents, it is not a change, whatever it is called. This question is answered by reading the drawings, specifications and exclusions — which is why the exclusions pages matter so much at signing.

Who caused it? An owner-directed change is the owner's cost. A change caused by a design error or omission raises a question about the design agreement. A change caused by a genuinely unforeseeable site condition is usually allocated by the contract, and the allocation clause is worth having read in advance. A change caused by the contractor's own error or sequencing is not yours.

Who absorbs it? Even where a change is legitimately yours, the price is a question: is the markup the contract markup, is the labour rate the contract rate, and is the work priced as though it were being done in isolation rather than by a crew already on site?

Keeping a log that survives a dispute

The log is unglamorous and it is the single highest-return administrative habit on a construction project. One row per change, from the moment it is first mentioned:

FIELD	WHY IT IS THERE
Number and date raised	Establishes sequence, which is often the whole argument
Description	What is actually changing, in your words
Origin	Owner request, design change, site condition, contractor error
Status	Proposed, priced, approved, rejected, disputed, performed
Price and basis	Lump sum, unit rates, time and materials, markup applied
Schedule impact	Days claimed, and whether you agreed to them
Approval	Who approved it, when, in what document

Two disciplines make it work. **Log the conversation, not just the paperwork** — changes usually begin as a remark on site weeks before a formal document exists, and the contemporaneous note of that remark is what resolves the argument later. And **never let work proceed on an unpriced change** unless you have decided, deliberately, that the schedule cost of pausing exceeds the price risk of proceeding. That is sometimes the right call. It should be a call, not a drift.

The schedule impact column deserves particular attention. Change orders are negotiated on price, and time is often conceded quietly in the same document. Days accumulate, the completion date moves, and by the end nobody can say which changes consumed which weeks.

8. When a lien appears

A claim of lien is filed against the title to your land. It is not a lawsuit against you personally, it does not mean anyone thinks you did anything wrong, and in most cases it means that somebody two levels down the chain has not been paid by somebody one level down.

It is also not an emergency in the sense of requiring action within hours. It is, however, a problem with clocks attached.

What it does

A registered claim of lien encumbers your title. In practice this means you cannot sell, and you cannot complete a refinancing or, in most cases, draw further on a construction loan, until it is cleared. Lenders react to liens quickly. That reaction is usually what turns a lien into a crisis, rather than the lien itself.

The periods

Two timeframes appear in this area and they are frequently confused. Chapter 5 introduced them; here they are together, because this is where both bite.

Filing — 45 days. A claim of lien may be filed no later than 45 days after the relevant event (s. 20): the issue of a certificate of completion for the contract or subcontract in question or, absent one, the later of the head contract being completed, abandoned or terminated, and the improvement being completed or abandoned. A lien for which a claim is not filed in the manner and within the time provided by the Act is extinguished (s.22).

Enforcement — one year. Filing a claim of lien is not the end of the claimant's obligations. An action to enforce the claim must be commenced and a certificate of pending litigation registered not later than one year from the date the claim of lien was filed (s.33(1)); otherwise the lien is extinguished (s.33(5)).

The holdback period — 55 days. Separate from both, and covered in Chapter 9.

What to do first

1. **Get the document.** Obtain the filed claim of lien and a current title search. Read who filed it, for how much, and under whom they claim.
2. **Tell your lender before your lender tells you.** They will find out. An owner who has already explained the position and the plan is in a different conversation than an owner who has not.
3. **Stop discretionary payments to the contractor** — but pay what is properly due and verified, because manufacturing a breach of your own creates a second problem. Note s. 34(2)(c): paying the contractor after a lien is filed, with notice of it, does not reduce your exposure.

4. **Call construction counsel.** This is a statutory process with removal mechanisms, security requirements and deadlines. It is not a read-the-guide-and-handle-it situation.
5. **Establish the facts underneath it.** Was the claimant actually unpaid? Was your contractor paid for that work? Is this an isolated dispute between the contractor and one trade, or the first visible sign that the contractor is in financial difficulty? The answer changes everything about what you do next, and it is the question that gets skipped.
6. **Check the arithmetic of your own position.** What have you paid, what is the required holdback, and what is the exposure under s.34(1)?

The Act provides mechanisms for removing a lien from title — including payment into court — and those mechanisms have their own conditions and consequences. That is a conversation with counsel, not a checklist item.

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9. Finishing

The end of a project is administratively the busiest part of it and the part where attention is lowest. Everyone is tired, the house is habitable, and the remaining work feels like tidying. This is where holdback gets released early, closeout documents get promised rather than delivered, and warranty windows start running while nobody is watching.

Substantial completion and the certificate

The Builders Lien Act uses a certificate of completion, issued under s.7 by the **payment certifier** — the architect, engineer or other person identified in the contract as responsible for payment certification; failing that, the owner alone for amounts due to the contractor, or the owner and contractor together for amounts due to subcontractors.

The mechanics are worth knowing because they are time-bound. On a request, the payment certifier has 10 days to determine whether the contract or subcontract has been completed, and 7 days after issuing the certificate to deliver copies and post notice.

The certificate matters because it starts clocks. Where one is issued, the 45-day filing period under s.20 and the 55-day holdback period under s.8 both run from it. Where none is issued, they run from head contract completion, abandonment or termination, or the completion or abandonment of the improvement.

The holdback period

The holdback period expires **55 days** after a certificate of completion is issued (s.8(1)); or, where no certificate is issued, 55 days after the head contract is completed, abandoned or terminated, or the improvement is completed or abandoned (s.8(2)).

Payment of the holdback may be made after expiry of the period, and the liens of the person paid and of those engaged by or under them are then discharged — **unless**, in the meantime, a claim of lien has been filed or proceedings have been commenced to enforce a lien against the holdback (s.8(4)).

That “unless” is the reason for the next step.

The title search

The Act does not require you to search title before releasing holdback. What it provides is that release after expiry discharges liens unless a claim has been filed in the meantime — and a title search is how you find out whether it has.

So: before you release, order a search of title from the Land Title and Survey Authority, dated as close as practical to the release, and confirm no claims are registered. This is prudent practice rather than a statutory requirement, and it costs almost nothing relative to what it detects. Where the position is anything other than clean, that is a call to counsel before money moves, not after.

Closeout documents to insist on

Ask for these while you still hold the holdback. The leverage does not survive the release, and a document that was straightforward to produce in month fourteen becomes impossible in month twenty.

- **Warranty documentation**: the home warranty policy itself, with the provider named, the coverage start date recorded, and the expiry dates for each tier — 12, 15 or 24 months as applicable, five years, ten years
- **Occupancy permit** and all final inspection approvals
- **Manufacturer and installer warranties** for roofing, windows, mechanical equipment, appliances, specialty finishes — with registration completed where registration is required to activate them
- **As-built drawings**, and shop drawings for anything fabricated
- **Operating and maintenance manuals**, and the commissioning reports for mechanical, electrical and control systems
- **Statutory declarations** confirming subcontractors and suppliers have been paid
- **Maintenance obligations**: many warranty policies condition envelope coverage on documented maintenance. Find out what yours requires before the first year passes without it.
- **Keys, codes, access credentials, and the list of who else has them**

The last honest question

Before you release, ask whether the deficiency list is genuinely closed or has simply become tiring. The holdback exists precisely for the work nobody wants to come back and do. It is worth one more inspection.

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10. If you are not there

A significant proportion of substantial residential projects in British Columbia are built for owners who do not live in the province, and often not in the country. Everything in this guide applies to them, with one difference: the verification steps that a local owner performs incidentally — driving past, walking the site, noticing that the framing crew has not been there in ten days — do not happen by themselves.

What changes at distance

Every fact about your project arrives through someone with a position in it. Photographs are chosen by the sender. Updates are written by the party being paid. Video calls show what the camera is pointed at. This is not usually dishonesty. It is selection, and it is what any competent person does when reporting on their own work.

Meanwhile the payment applications keep arriving on schedule, each one asserting percentages complete and materials stored, each one approved in practice on trust.

Cameras do not solve this. Site cameras and progress photography are inexpensive and useful, and they show you a site. They cannot tell you whether framing claimed at 80% is at 80%, whether the stored materials are yours, or whether the money should move.

What verification looks like at distance

The substitute for standing on the site is a documented, independent process:

- **An independent inspector, retained for the purpose, physically on site** at each draw cycle, verifying work in place against the schedule of values, confirming stored materials exist and are identified to your project, and confirming milestones have actually been reached
- **A written recommendation before each payment deadline** — release, hold, or release in part, with reasons — so that the file shows who approved what, when, and on what evidence
- **Holdback tracked as its own running number**, so the amount retained is never something anyone has to reconstruct from a stack of applications
- **A change order log maintained by someone other than the party proposing the changes**
- **The statutory clocks diarised** — the 45-day filing period, the 55-day holdback period, warranty commencement and each warranty tier's expiry — because none of them care what time zone you are in

Why the statutory obligations bite harder

The obligations in Chapters 5 and 9 fall on the owner regardless of where the owner is. An absentee owner who has not established a holdback account is in the same position under s. 34(1) as a local one, but with less chance of noticing before it matters. An owner who is not there when substantial completion occurs may not know the 55-day clock has started. Distance does not reduce the obligations. It removes the incidental ways they would otherwise get caught.

Appendix A — Owner's obligations checklist, by phase

A prompt list, not a substitute for the chapters or for counsel.

Before signing

- ☐ Builder's licence confirmed with BC Housing, held by the entity that will sign your contract (s.14(1))
- ☐ Home warranty registration arrangements confirmed (s.22(1)); if the project is exempt, confirm why, in writing
- ☐ Contract reviewed by a construction lawyer
- ☐ Exclusions, allowances and contingency control understood
- ☐ Payment terms track verifiable work in place
- ☐ Holdback mechanics addressed in the contract, consistent with the Act
- ☐ Change order pricing mechanism and authority defined
- ☐ Schedule provisions, notice requirements and delay remedies read
- ☐ Insurance confirmed: builder's risk, liability, and who carries what

At contract start

- ☐ Holdback account established at a savings institution, jointly administered with the contractor, where s.5 applies (s.5(1))
- ☐ Confirm whether s.5(8)(b) exempts the contract — aggregate value of work and material under $100,000 — and revisit if the contract grows
- ☐ Schedule of values reviewed for front-loading before the first draw
- ☐ Change order log opened
- ☐ Document filing structure established

Every payment cycle

- ☐ Claimed percentages tested against work actually in place
- ☐

Arithmetic recalculated

- ☐ Holdback correct on this application and cumulatively (s.4(1))
- ☐ Holdback paid into the account (s.5(1)(b))
- ☐ Stored materials verified: on site, identified, insured
- ☐ Change orders on the application reconciled to your log
- ☐ Statutory declarations obtained
- ☐ Written, dated approval recorded with its basis

At completion

- ☐ Certificate of completion status established (s.7)
- ☐ 45-day filing period diarised (s.20)
- ☐ 55-day holdback period diarised (s.8)
- ☐ Deficiency list genuinely closed, not merely tiring
- ☐ LTSA title search obtained immediately before release
- ☐ Holdback released only after expiry and a clean search (s.8(4))
- ☐ Closeout package delivered in full — see Chapter 9
- ☐ Warranty coverage start date and every tier expiry recorded in your calendar

After occupancy

- ☐ Warranty tier expiries diarised: 12 or 15 or 24 months, five years, ten years
- ☐ Maintenance obligations under the warranty policy identified and performed, with records kept
- ☐ Deficiencies reported to the warranty provider in writing, within the tier
- ☐ Full document set stored somewhere a future owner or your lawyer can find it

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Appendix B — Nine questions to ask before signing

1. **What exactly is excluded?** Ask for the exclusions and qualifications pages specifically, and read them before the price.
2. **Which numbers are allowances, and what is each one based on?** Then ask what comparable projects actually spent against them.
3. **Who controls the contingency, and where does the unspent balance go?**
4. **How are change orders priced and approved, and who is authorised to order one?** What happens to work performed without a signed change order?
5. **What does the payment schedule track — verified work in place, or the calendar?** Ask to see the schedule of values before signing, not after.
6. **How will the holdback be administered?** Who establishes the account, who administers it with you, and how will the retained amount appear on each application?
7. **What happens when the schedule slips?** What is excusable, what notice is required, and what is the remedy when it is not excusable?
8. **Who is your counterparty, exactly?** The legal entity signing, its licence, its financial standing, and whether the people you have been dealing with are employed by it.
9. **What does your architect's agreement commit them to during construction?** Specifically: who is the payment certifier, and who is verifying that claimed percentages match work in place?

A good answer is specific, comes with a document, and does not require you to take anyone's word for it. A bad answer is a reassurance. The difference is easy to hear once you are listening for it.

Appendix C — Glossary

Allowance — A placeholder amount in a contract price for an item not yet selected. Differences between the allowance and actual cost adjust the price.

Builders Lien Act — SBC 1997 c.45. The British Columbia statute governing liens, holdback and the trust obligations of contractors on construction projects.

Certificate of completion — A certificate issued under s.7 of the Builders Lien Act stating that work under a contract or subcontract has been completed. Starts the 45-day filing period and the 55-day holdback period.

Change order — A written amendment to the contract altering scope, price or time.

Claim of lien — A charge registered against the title to land by a person who provided work or material to an improvement and has not been paid.

Cost-plus — A contract under which the owner pays documented cost plus a fee.

Extinguished — A lien that ceases to exist because a step required by the Act was not taken in time — filing (s.22) or commencement of enforcement proceedings with a registered certificate of pending litigation (s.33(5)).

Fixed price / stipulated sum — A contract under which the contractor performs a defined scope for a fixed amount.

Guaranteed maximum price (GMP) — A cost-plus contract with a ceiling on the owner's total cost.

Head contractor — Under the Builders Lien Act, a contractor engaged to do substantially all of the work respecting an improvement, whether or not others are engaged as subcontractors.

Holdback — The 10% required to be retained under s.4(1) of the Builders Lien Act from each contract and subcontract under which a lien may arise.

Holdback account — The account at a savings institution required by s.5(1), jointly administered by owner and contractor, into which the holdback is paid.

Holdback period — The 55 days under s.8 after which the holdback may be released.

Home warranty insurance — Third-party insurance required under the Homeowner Protection Act for new homes, commonly called 2-5-10.

Homeowner Protection Act — SBC 1998 c.31. Governs residential builder licensing, home warranty insurance and owner builder authorizations in British Columbia.

Improvement — Under the Builders Lien Act, anything made, constructed, erected, built, altered, repaired or added to land, and clearing, excavating, drilling, filling, grading or ditching of land.

LTSA — The Land Title and Survey Authority of British Columbia, which operates the land title register where liens are filed and title searches are obtained.

New Homes Registry — BC Housing's public registry of new homes, showing warranty coverage, builder licensing and owner builder status.

Owner — Under the Builders Lien Act s.1, a person with a legal or equitable estate or interest in land at whose request, on whose credit, on whose behalf, with whose knowledge or consent, or for whose direct benefit work is done or material supplied.

Owner Builder Authorization — Authorization under s.20(1) of the Homeowner Protection Act permitting an individual to build a home for their own use, exempt from the warranty registration requirement under s.22(4).

Payment application — A periodic request for payment setting out claimed percentages complete against a schedule of values.

Payment certifier — The person responsible under the contract for certifying payment; failing that, the owner or owner and contractor as set out in the Builders Lien Act.

Schedule of values — The contract price broken into line items, against which progress is claimed.

Statutory declaration — A sworn statement, commonly used to confirm that subcontractors and suppliers have been paid.

Stored materials — Materials paid for but not yet installed, typically claimed as a separate line on a payment application.

Substantial completion — The point at which a project is sufficiently complete to be used for its intended purpose. Defined by your contract; distinct from the statutory certificate of completion.

About this guide

Erskine Advisory is an independent owner’s representation practice. We act for private owners and family offices, representing their interests on significant residential construction projects — reviewing payment applications against verified work in place, coordinating the professional team, and reporting to the owner. We take no compensation from any other party to a project.

This guide was written because the obligations described in it fall on owners, are rarely explained to them, and carry consequences that are entirely avoidable with a month’s notice and none at all with a week’s.

It is offered without expectation. If it saves you a conversation with a lawyer, it has done its job; if it prompts one, it has done its job better.

This guide explains what the legislation requires. It is not legal advice. Consult a BC construction lawyer on your specific project. Statutory references were verified against the Builders Lien Act and the Homeowner Protection Act on bclaws.gov.bc.ca, and against BC Housing’s published guidance, in August 2026. Legislation changes; confirm the current position before relying on any of it.